

# ADVANCED COLLEGE ACCOUNTING (115)

## STATE – 2019

### Multiple Choice & Short-Answer:

Multiple Choice (20 @ 2 points each) \_\_\_\_\_ (40 points)

### Problems:

Problem 1: Journal Entries \_\_\_\_\_ (50 points)

Problem 2: Capitalized Cost \_\_\_\_\_ (54 points)

Problem 3: Retail Method - Average \_\_\_\_\_ (26 points)

***TOTAL POINTS*** \_\_\_\_\_ ***(170 points)***

**Failure to adhere to any of the following rules will result in disqualification:**

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation  
No more than ninety (90) minutes testing time  
No more than ten (10) minutes wrap-up

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## General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice should be completed first, then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- GAAP
- Round to two decimal places unless otherwise instructed
- Percents rounded to the tenth percent (Ex: 22.8%)
- Perpetual Inventory
- Ordinary Interest

### MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. There are how many steps in Revenue Recognition?
  - a. 2 Steps
  - b. 3 Steps
  - c. 4 Steps
  - d. 5 Steps
2. The long-term contract method that recognizes revenue over the life of the contract is called \_\_\_\_\_.
  - a. Life of Contract Method
  - b. Percentage of Completion Method
  - c. Completed Contract Method
  - d. Contract Life Portion Method
3. Depreciation is *no* longer recorded on an asset when the book value equals \_\_\_\_\_.
  - a. market value
  - b. replacement cost
  - c. original cost
  - d. salvage value
4. To calculate the proceeds of a bond issue, this two-step process is used.
  - a. Find the future value of the bond and the future value of the interest payments.
  - b. Find the future value of the bond and the present value of the interest payments.
  - c. Find the present value of the bond and the present value of the interest payments.
  - d. Find the present value of the bond and the future value of the interest payments.
5. Compensating balances are \_\_\_\_\_.
  - a. The cash set aside for a specific purpose
  - b. The cash set aside to compensate employees
  - c. The cash set aside for a sinking fund
  - d. The cash set aside to satisfy a loan covenant
6. When using the Gross Method for cash discounts, the original purchase will be recorded at \_\_\_\_\_.
  - a. Invoice price
  - b. Invoice price less the discount
  - c. List price
  - d. List price less the discount

7. This is the entry which would be prepared if a previously written off account of \$325 was later collected under the Direct Write Off Method.
  - a.
 

|                              |        |        |
|------------------------------|--------|--------|
| Accounts Receivable          | \$ 325 |        |
| Allowance for Uncollectibles |        | \$ 325 |
| Cash                         | 325    |        |
| Accounts Receivable          |        | 325    |
  - b.
 

|                     |     |     |
|---------------------|-----|-----|
| Cash                | 325 |     |
| Accounts Receivable |     | 325 |
  - c.
 

|                     |     |     |
|---------------------|-----|-----|
| Accounts Receivable | 325 |     |
| Bad Debts Expense   |     | 325 |
| Cash                | 325 |     |
| Accounts Receivable |     | 325 |
  - d.
 

|                              |     |     |
|------------------------------|-----|-----|
| Allowance for Uncollectibles | 325 |     |
| Bad Debts Expense            |     | 325 |
8. What is the term used for using receivables as collateral for a loan?
  - a. Collateralizing
  - b. Factoring
  - c. Pledging
  - d. Securitization
9. The formula used to calculate Cost of Goods Sold in the periodic inventory system is:
  - a. Beginning Inventory + Purchases + Ending Inventory
  - b. Beginning Inventory – Purchases + Ending Inventory
  - c. Beginning Inventory + Purchases – Ending Inventory
  - d. Beginning Inventory – Purchases – Ending Inventory
10. FOB Shipping Point means the \_\_\_\_\_.
  - a. buyer has to pay for shipping and title transfers when received by buyer
  - b. buyer has to pay for shipping and title transfers when shipped
  - c. seller has to pay for shipping and title transfers when received by buyer
  - d. seller has to pay for shipping the title transfers when shipped
11. With dividends, the record date is the date \_\_\_\_\_.
  - a. on which the board of directors declares the dividend.
  - b. used to determine who will receive the dividend.
  - c. on which the dividend is paid.
  - d. none of the above
12. When purchasing a parcel of land, which of the following *would* be included?
  - a. Purchase price, attorney fees commission, back taxes, clearing & filling, removing old buildings, insurance
  - b. Purchase price, attorney fees commission, back taxes, clearing & filling, removing old buildings
  - c. Purchase price, attorney fees commission, back taxes, clearing & filling
  - d. Purchase price, attorney fees commission, back taxes

13. If a company paid \$2,000,000 for land valued at \$1,100,000, a building valued at \$900,000 and equipment valued at \$ 500,000. What value would you place on the land?
- \$ 720,000
  - \$ 800,000
  - \$ 880,000
  - \$ 1,100,000
14. When calculating the costs incurred on a self-constructed assets, this method is used for determining expenditures:
- Actual Expenditure Method
  - Average Expenditure Method
  - Weighted Expenditure Method
  - Weighted Average Method
15. Research and development costs are \_\_\_\_\_.
- capitalized
  - capitalized and amortized
  - expensed as incurred
  - recorded when paid
16. Technologically feasible relates to the software industry's \_\_\_\_\_.
- capitalization of research and development costs.
  - time period that expenses research and development costs.
  - records the expenses as incurred.
  - records the expenses when paid.
17. IFRS means \_\_\_\_\_.
- Industry Financial Reporting System
  - Industry Financial Reporting Standards
  - International Financial Reporting System
  - International Financial Reporting Standards
18. The Atomic Blast Corporation has a policy to use Double Declining Balance for the first 2 years and switch to Straight Line for the remaining life, this will require the company to \_\_\_\_\_.
- report a change in accounting methods each year
  - report a change in accounting methods the year of the change
  - report a change in accounting methods each year after the change
  - disclose this policy in a note to the financial statements

19. Which depreciation method is the *most* widely used?
- a. Double Declining Balance
  - b. Straight-Line
  - c. Sum-of-the-Years Digits
  - d. Units of Production
20. An impairment loss test for assets with a finite life would be \_\_\_\_\_.
- a. a significant decrease in market value
  - b. a significant change in physical condition
  - c. a significant change in business climate
  - d. All the above

**PROBLEM 1 (50 points)**

Record the following selected transactions in the journal on the next page. Use the letter in the date column.

- a. On the first day of the year, sold \$1,000,000 of 10-year 10% bonds for \$ 885,295.
- b. On Feb. 6, billed a customer for \$30,000 of merchandise with terms 2/10 net 30, FOB Shipping Point. A shipping charge of \$210 paid with cash was added to the invoice. The company uses the Net Method and has a perpetual inventory system. Cost of goods is \$8,900.
- c. Received payment of the invoice in b. The payment is received on Feb. 28.
- d. Wrote off an account of \$1,280 which was deemed uncollectible. The company uses the Allowance Method.
- e. Sold merchandise of \$10,900 and accepted an 8% note with payment due in 60 days. Cost of goods is \$4,200.
- f. Purchased \$ 115,000 worth of merchandise on account using the Net Method. The invoice was dated July 15 with terms FOB Shipping Point and net 30. A shipping charge of \$ 610 was added to the invoice.
- g. On September 30, we purchased a patent for \$ 2,100,000 cash. This patent has a remaining legal life of 8 years but we estimate a useful life of 5 years.
- h. Record the amortization of the patent at year end.
- i. At the end of the year, a physical inventory of merchandise was taken. The actual count reflects an inventory of \$ 519,700. The balance in the Merchandise Inventory account is \$519,990.

## General Journal

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**PROBLEM 2 (54 points)**

The following is a list of costs incurred for the purchase of a new piece and a used piece of construction equipment. Determine the cost to be recorded in the financial records and prepare the appropriate journal entries.

| New Equipment          |           | Used Equipment              |           |
|------------------------|-----------|-----------------------------|-----------|
| Purchase Price         | \$589,000 | Purchase Price              | \$199,000 |
| Sales Tax              | 38,285    | Sales Tax                   | 12,935    |
| Special Foundation     | 60,000    | Shipping Charge             | 1,500     |
| Installation by us     | 25,100    | Insurance while in shipping | 100       |
| Damage at installation | 8,000     | Reconditioning              | 2,800     |
| Shipping               | 11,100    | Insurance for the year      | 1,200     |

Assume the new equipment was purchased on May 1, 2018. The purchase price was paid with a note payable; all other expenses were paid for with cash. Prepare the journal entry to record the purchase of the equipment with a 6 month, 8% note payable.

| Date | Description | Debit | Credit |
|------|-------------|-------|--------|
|      |             |       |        |
|      |             |       |        |
|      |             |       |        |

Record the payment of the note on the maturity date.

| Date | Description | Debit | Credit |
|------|-------------|-------|--------|
|      |             |       |        |
|      |             |       |        |
|      |             |       |        |

Record the first year's depreciation using the double-declining balance method, assuming the salvage value is \$150,000 and the useful life is 6 years (round to the nearest whole number).

| Date | Description | Debit | Credit |
|------|-------------|-------|--------|
|      |             |       |        |
|      |             |       |        |
|      |             |       |        |

Assume the used equipment was purchased on March 1 with a cash down payment of 60% and the rest on a 160 day, 5% note payable. Record the entry to purchase the equipment.

| Date | Description | Debit | Credit |
|------|-------------|-------|--------|
|      |             |       |        |
|      |             |       |        |
|      |             |       |        |

Record the payment of the note on the maturity date. Round final calculations to the nearest dollar.

| Date | Description | Debit | Credit |
|------|-------------|-------|--------|
|      |             |       |        |
|      |             |       |        |
|      |             |       |        |

Record the first year's depreciation using the straight-line method. Assume the salvage value is \$35,000 and the useful life is 30 months. Round final calculations to the nearest dollar.

| Date | Description | Debit | Credit |
|------|-------------|-------|--------|
|      |             |       |        |
|      |             |       |        |
|      |             |       |        |

Estimate the ending inventory and cost of goods sold on December 31, 2019, using the Retail Method – Average Cost (round all dollar amounts to the nearest dollar).

[illegible]